

ECON 101: Macroeconomics

Quiz 5

Instructor: Muhebullah Karimzada

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Part A — Multiple Choice (5 marks)

1. A decrease in Canadian interest rates will:
 - (A) Shift AD left
 - (B) Shift AD right
 - (C) Cause a movement up along AD
 - (D) Shift SRAS right
2. Which of the following would shift the short-run aggregate supply (SRAS) curve to the left?
 - (A) A decrease in wages
 - (B) A fall in oil prices
 - (C) An increase in corporate taxes
 - (D) A technological improvement
3. The long-run aggregate supply (LRAS) curve:
 - (A) Slopes upward
 - (B) Shifts right when the price level rises
 - (C) Is vertical at potential GDP
 - (D) Shifts left when government spending increases
4. The money multiplier equals:
 - (A) $1 - r_d$
 - (B) $\frac{1}{r_d}$
 - (C) r_d
 - (D) $\frac{1}{1-r_d}$

5. If the Bank of Canada sells government securities in the open market, the most likely outcome is:
- (A) Lower interest rates and higher AD
 - (B) Higher interest rates and lower AD
 - (C) Higher inflation and higher SRAS
 - (D) A decrease in the desired reserve ratio

Part B — Numerical / Analytical Problems (15 marks)

Problem 1 (7 marks) — AD–AS & Short-Run Equilibrium

The economy is initially at long-run equilibrium:

$$Y^* = \$2,500 \text{ billion}, \quad P = 120.$$

A negative shock reduces autonomous investment by \$50 billion. Assume $MPC = 0.75$ and treat the price level as fixed.

- (a) Compute the expenditure multiplier. (1 mark)
- (b) Calculate the total change in real GDP. (2 marks)
- (c) Compute the new real GDP. (1 mark)
- (d) Explain AD–AS short-run effects on GDP, unemployment, and price level. (3 marks)

Problem 2 (8 marks) — Simple Deposit Multiplier

A new deposit of \$5,000 is placed into a Canadian commercial bank. The desired reserve ratio is:

$$r_d = 0.10.$$

- (a) Compute the simple deposit multiplier. (1 mark)
 - (b) Compute the *maximum* possible increase in deposits. (2 marks)
 - (c) From the initial deposit, how much must be held as reserves? How much can be loaned? (3 marks)
 - (d) Give one reason the actual deposit expansion may be smaller. (2 marks)
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End of Quiz